Chapter 1

Introduction

Modern economic theory is customarily said to have begun with Adam Smith (1723–1790). This book is concerned primarily with the economic ideas from Smith to the present. The common element in the ideas presented here is the concern to understand the nature of the capitalist economic system. The writers that we shall discuss all sought to understand what features were most essential to the functioning of capitalism, how the system functioned, what determined the volume of production, what was the source of economic growth, what determined the distribution of wealth and income, and many other questions as well. They also sought to evaluate capitalism: How adequately did the system fulfill human needs? How could it be changed to better fulfill these needs?

A Definition of Capitalism

It is, of course, simplistic to say that attempts to understand capitalism began with Adam Smith. Capitalism as the dominant social, political, and economic system, first of western Europe and later of much of the world, emerged very slowly over a period of several centuries. As it emerged people sought to understand it.

To survey the attempts to understand capitalism, it is necessary first to define it and then to review briefly the historical highlights of its emergence. It must be stated at the outset that there is no general agreement among economists or economic historians as to what the essential features of capitalism are. In fact, some economists do not believe that it is fruitful to define distinctly different economic systems at all; they believe in a historical continuity in which the same general principles suffice to understand all economic arrangements. Most economists would agree, however, that capitalism is an economic system that functions very differently from previous economic systems and from contemporary noncapitalist systems. This book is based on a methodological approach that defines economic systems according to the mode of production on which the system is based. The *mode of production* is, in turn, defined by the *forces of production* and the *social relations of production.*

The forces of production constitute what would commonly be called the productive technology of a society. These consist of the current state of productive or technical knowledge, skills, organizational techniques, and so forth, as well as the tools, implements, machines, and buildings involved in production. Within any given set of forces of production there are certain necessary costs that must be met in order to insure the system's continued existence. Some new resources, or raw materials, must be continuously extracted from the natural environment. Machinery, tools, and other implements of production wear out with use and must be replaced. Most important, the human beings who expend the effort necessary to secure raw materials and to transform these raw materials into finished products must have a minimum level of food, clothing, shelter, and other necessities to sustain social life.

Modes of production that have not satisfied these minimum requirements of continued production have vanished. Many historical modes of production successfully met these minimum requirements for a period of time and then, due to some change in circumstances, were unable to continue doing so, and, consequently, became extinct. Most modes of production that have continued to exist for very long periods of time have, in fact, produced enough to meet not only these necessary costs but also an excess, or social surplus, beyond these necessary costs. A social surplus is defined as that part of a society's material production that is left over after the necessary material costs of production have been deducted.

The historical development of the forces of production has resulted in a continuously increasing capacity for societies to produce larger social surpluses. In this historical evolution, societies have generally divided into two separate groups. The vast majority of people in every society has toiled to produce the output necessary to sustain and perpetuate the mode of production as well as the social surplus, while a small minority has appropriated and controlled it. In this book, social classes are distinguished accordingly; the social relations of production are defined as the relationships between these two classes. A mode of production, then, is the social totality of the technology of production (the forces of production) and the social arrangements by which one class uses these forces of production to produce all output including the surplus and another class appropriates the surplus (the social relations of production).

Within the context of this general set of definitions, we can define capitalism, the particular mode of production with which the thinkers surveyed in this book have been concerned. Capitalism is characterized by four sets of institutional and behavioral arrangements: market-oriented commodity production; private ownership of the means of production; a large segment of the population that cannot exist unless it sells its labor power in the market; and individualistic, acquisitive, maximizing behavior by most individuals within the economic system. Each of these features will be discussed briefly.

In capitalism, the products of human labor are valued for two distinct reasons. First, products have particular physical characteristics by virtue of which they are usable and satisfy human needs. When a commodity is valued for its use in satisfying our needs, it is said to have use value. All products of human labor in all societies have use value. In capitalism, products are also valued because they can be sold for money in the market. This money is desired because it can be exchanged for products that have a desired use value. Insofar as products are valued because they can be exchanged for money, they are said to have exchange value. Products of human labor have exchange value only in modes of production characterized by commodity production. A society must have a well-developed market in which products can be freely bought or sold for money in order for commodity production to exist. Commodity production exists when products are created by producers who have no immediate personal concern for the use value of the product but are interested only in its exchange value. Thus commodity production is not a direct means of satisfying needs. Rather, it is a means of acquiring money by exchanging the product for money, which, in turn, may be used to acquire products desired for their use value. Under such conditions, the products of human labor are commodities, and the society is described as a commodity-producing society.

Under commodity production, a person's productive activity has no direct connection to that person's consumption; exchange and the market must mediate the two. Furthermore, a person has no direct connection to the people who produce the commodities he or she consumes. This social relationship is also mediated by the market. Commodity production implies a high degree of productive specialization, in which each isolated producer creates only one or a few commodities and then must depend on other individuals, with whom he or she has no direct personal relations, to buy the commodities on the market. Once the person has exchanged the commodity for money, that person again depends on people with whom he or she has no direct personal relationship to supply on the market the commodities he or she must purchase in order to satisfy personal needs.

This type of economy is one in which extremely complex economic interrelationships and dependencies exist that do not involve direct personal interaction and association. The individual interacts only with the impersonal social institution of the market, in which the individual exchanges commodities for money and money for commodities. Consequently, what is in reality a set of complex social and economic relations among people appears to each individual to be merely so many impersonal relations among things—namely, commodities. Each individual depends on the impersonal forces of the market—of buying and selling or demand and supply—for the satisfaction of needs.

The second defining feature of capitalism is private ownership of the means of production. This means that society grants to private persons the right to dictate how the raw materials, tools, machinery, and buildings necessary for production can be used. Such a right necessarily implies that other individuals are excluded from having any say about how these means of production can be used. Early defenses of private property spoke in terms of each individual producer owning and therefore controlling the means of individual production. But very early in the evolution of capitalism things developed differently. In fact, the third defining feature of capitalism is that most producers do not own the means necessary to carry on their productive activity. Ownership came to be concentrated in the hands of a small segment of society—the capitalists. An owner-capitalist needed to play no direct role in the actual process of production in order to control it; ownership itself granted control. And it was this ownership that permitted the capitalist to appropriate the social surplus. Thus, ownership of the means of production is the feature of capitalism that bestows the power on the capitalist class by which it controls the social surplus, and, thereby, establishes itself as the dominant social class.

This domination, of course, implies the third defining feature of capitalism—the existence of a large working class that has no control over the means necessary to carry out their productive activity. In capitalism, most workers own neither the raw materials nor the implements with which they produce commodities. Consequently, the commodities that they produce do not belong to them but rather are owned by the capitalists who own the means of production. The typical worker enters the market owning or controlling only one thing—the capacity to work, that is, his or her labor power. In order to engage in productive activity, the person must sell his or her labor power to a capitalist. In return, the person receives a wage and produces commodities that belong to the capitalist. Thus, unlike any prior mode of production, capitalism turns human productive power itself into a commodity—labor power—and generates a set of conditions in which the majority of people cannot live unless they are able to sell their commodity, labor power, to a capitalist for a wage. With the wage, they are able to buy back from the capitalists only a portion of the commodities that they themselves have produced. The remainder of the commodities that they produce constitutes the social surplus and is retained and controlled by the capitalist class.

The fourth and final defining feature of capitalism is that most people are motivated by individualistic, acquisitive, maximizing behavior. This is necessary for the successful functioning of capitalism. First, in order to assure an adequate supply of labor and to facilitate the strict control of workers, it is necessary that working people produce commodities whose value is far in excess of the value of the commodities that they consume. In the earliest period of capitalism, workers were paid such low wages that they and their families were kept on the verge of extreme material deprivation and insecurity. The only apparent way of decreasing this deprivation and insecurity was to work longer and harder in order to obtain a more adequate wage and to avoid being forced to join the large army of unemployed workers, which has been an ever-present social phenomenon in the capitalist system.

As capitalism evolved, the productivity of workers increased. They began to organize themselves collectively into unions and workingmen's associations to fight for higher wages. By the late nineteenth and early twentieth centuries, after many hard battles and innumerable setbacks, these struggles began to have an impact. Since that time, the purchasing power of the wages of working people has been slowly and consistently increasing. In place of widespread physical deprivation, capitalism has increasingly had to rely on new types of motivation to keep working people producing the social surplus. A new social ethos, sometimes called consumerism, has become dominant, and is characterized by the belief that more income alone always means more happiness.

The social mores of capitalism have induced the view that virtually every subjectively felt need or unhappiness can be eliminated if one can buy more commodities. The competitive and economically insecure world within which workers function generally creates subjective feelings of anxiety, loneliness, and alienation. The cause of these feelings has been perceived by most working people as their inability to buy enough commodities to make them happy. But as workers have received higher wages and bought more commodities, the general unhappiness and anxiety have continued. The problem, they have tended to conclude, is that the increase in wages was insufficient. Misperceiving the root cause of their condition, they have frequently gotten aboard an Alice in Wonderland treadmill, where the more one gets the more needy one feels, the faster one runs the more inadequate one's pace appears to be, the harder one works the greater appears to be the need for even harder work in the future.

Secondly, capitalists have also been driven to acquisitive, combative behavior. The most immediate reason for this is the fact that capitalism has always been characterized by a competitive struggle among capitalists to secure larger shares of the social surplus. In this endless struggle the power of any given capitalist depends on the amount of capital that he or she controls. If a capitalist's competitors acquire capital—and hence size and economic strength—more rapidly than he or she does, then it becomes highly likely that he or she will face extinction. So continued existence as a capitalist depends on the ability to accumulate capital at least as rapidly as competitors. Hence, capitalism has always been characterized by the frantic effort of capitalists to make more profits and to convert these profits into more capital.

Consumerism among capitalists has also been important for the successful functioning of capitalism. In the process of production, after the workers have produced surplus value, the capitalists own this surplus value in the form of the commodities that the workers have produced. In order for this surplus value to be converted into monetary profit, these commodities must be sold on the market. The workers can usually be counted on to spend all of their wages on commodities, but their wages can purchase only some of the commodities (or else there would be no social surplus). Capitalists will purchase many of the commodities as investments to add to their accumulation of capital. But these two sources of demand have never been adequate to generate enough spending for the capitalists as an entire class to sell all of their commodities. Therefore, a third source of demand, ever-increasing consumption expenditures by capitalists, has also been necessary to assure adequate money demand to enable capitalists to sell all of their commodities.

When such demand has not been forthcoming, capitalism has experienced depressions in which commodities cannot be sold, workers are laid off, profits decline, and a general economic crisis ensues. Throughout its history, capitalism has suffered from recurring crises of this kind. A major concern of most of the economic thinkers discussed in this book has been to understand the nature and causes of these crises and to ascertain whether remedies can be found to eliminate or at least to alleviate the crises.

Precapitalist European Economy

In order to trace the outlines of the historical evolution of capitalism, it is necessary first to say a few words about feudalism—the socioeconomic system that preceded capitalism in western Europe. The decline of the western part of the old Roman Empire left Europe without the laws and protection that the empire had provided. The vacuum was filled by the creation of a feudal hierarchy, in which the serf, or peasant, was protected by the lord of the manor, who, in turn, owed allegiance to and was protected by a higher overlord. So the system went, ending eventually with the king. The strong protected the weak, but they did so at a high price. In return for payments of money, food, labor, or military allegiance, overlords granted the fief, or *feudum*—a hereditary right to use land—to their vassals. At the bottom was the serf, who tilled the land. The vast majority of the population raised crops for food or clothing or tended sheep for wool and clothing.[1]

Custom and tradition are the keys to understanding medieval relationships. In place of laws as we know them today, the custom of the manor governed. There was no strong central authority in the Middle Ages that could have enforced a system of laws. The entire medieval organization was based on a system of mutual obligations and services up and down the hierarchy. Possession or use of the land obligated one to certain customary services or payments in return for protection. The lord was as obligated to protect the serf as the serf was to turn over a portion of his crop to or perform extensive labor for the lord.

Customs were broken, of course; no system always operates in fact as it is designed to operate in theory. One should not, however, underestimate the strength of custom and tradition in determining the lives and ideas of medieval people. Disputes between serfs were decided in the lord's court according to both the special circumstances in each case and the general customs of the manor for such cases. Of course, a lord would usually decide in his own favor in a dispute between himself and a serf. Even in this circumstance, however, especially in England, an overlord would impose sanctions or punishments on a lord who, as the overlord's vassal, had persistently violated the customs in his treatment of serfs. This rule by the custom of the manor stands in sharp contrast to the legal and judicial system of capitalism. The capitalist system is based on the enforcement of contracts and universally binding laws, which are softened only rarely by mitigating circumstances and customs that often swayed the lord's judgment in medieval times.

The extent to which the lords could enforce their "rights" varied greatly from time to time and from place to place. It was the strengthening of these obligations and the nobleman's ability to enforce them through a long hierarchy of vassals over a wide area that eventually led to the emergence of modern nation-states. This process occurred during the period of transition from feudalism to capitalism. Throughout most of the Middle Ages, however, many of the lords' rights were very weak or uncertain because political control was fragmented.

The basic economic institution of medieval rural life was the manor, which contained within it two separate classes: noblemen, or lords of the manors, and serfs (from the Latin word *servus,* "slave"). Serfs were not really slaves. Unlike a slave, who was simply property to be bought and sold at will, the serf could not be parted from either his or her family or land. If the serf's lord transferred possession of the manor to another nobleman, the serf simply had another lord. In varying degrees, however, obligations were placed on the serfs that were sometimes very onerous and from which there was often no escape. Usually, they were far from being free.

The lord lived off the labor of the serfs who farmed his fields and paid taxes in kind and money according to the custom of the manor. Similarly, the lord gave protection, supervision, and administration of justice according to the custom of the manor. It must be added that although the system did rest on reciprocal obligations, the concentration of economic and political power in the hands of the lord led to a system in which, by any standard, the serf was exploited in the extreme.

The Catholic Church was by far the largest owner of land during the Middle Ages. Although bishops and abbots occupied much the same place as counts and dukes in the feudal hierarchy, there was one important difference. Secular lords might shift their loyalty from one overlord to another, depending on the circumstances and the balance of power involved, but the religious lords always had (in principle at least) a primary loyalty to the church in Rome. This was also an age during which the religious teaching of the church had a very strong and pervasive influence throughout western Europe. These factors combined to make the church the closest thing to a strong central government throughout this period.

Thus, the manor might be secular or religious (many times secular lords had religious overlords and vice versa), but the essential relationships between lords and serfs were not significantly affected by this distinction. There is little evidence that serfs were treated any less harshly by religious lords than by secular ones. The religious lords and the secular nobility were the joint ruling classes; they controlled the land and the power that went with it. In return for very onerous appropriations of the serf's labor, produce, and money, the nobility provided military protection, and the church provided spiritual aid.

In addition to manors, medieval Europe had many towns, which were important centers of manufacturing. Manufactured goods were sold to manors and sometimes traded in long-distance commerce. The dominant economic institutions in the towns were the guilds—craft, professional, and trade associations that had existed as far back as the Roman Empire. If anyone wanted to produce or sell any good or service, that person had to join a guild.

The guilds were as involved with social and religious questions as with economic ones. They regulated their members in all their activities: personal, social, religious, and economic. Although the guilds did regulate the production and sale of commodities very carefully, they were less concerned with making profits than with saving their members' souls. Salvation demanded that the individual lead an orderly life based on church teachings and custom. Thus, the guilds exerted a powerful influence as conservators of the status quo in the medieval towns.

But medieval society was predominantly an agrarian society. The social hierarchy was based on individuals' ties to the land, and the entire social system rested on an agricultural base. Yet, ironically, increases in agricultural productivity were the original impetus for a series of profound changes, occurring over several centuries, which resulted in the dissolution of medieval feudalism and the beginnings of capitalism. The most important technological advance in the Middle Ages was the replacement of the two-field system of crop rotation with the three-field system. Although there is evidence that the three-field system was introduced into Europe as early as the eighth century, its use was probably not widespread until around the eleventh century.

Yearly sowing of the same land would deplete the land and eventually make it unusable. Consequently, in the two-field system, half of the land was always allowed to lie fallow in order to recover from the previous year's planting. With the three-field system, arable land was divided into three equal parts. Rye or winter wheat would be planted in the fall in the first field. Oats, beans, or peas would be planted in the spring in the second field, and the third field would lie fallow. Every year there was a rotation of these positions. Any given piece of land would have a fall planting one year, a spring planting the next year, and none the third. A dramatic increase in agricultural output resulted from this seemingly simple change in agricultural technology. With the same amount of arable land, the three-field system increased the amount under cultivation at any particular time by as much as 50 percent.[2]

The three-field system led to other important changes. Spring sowing of oats and other fodder crops enabled the people to support more horses, which began to replace oxen as the principal source of power in agriculture. Horses were much faster than oxen, and, consequently, the region under cultivation could be extended. Larger cultivated areas enabled the countryside to support more concentrated population centers. Transportation of men, commodities, and equipment was much more efficient with horses. Greater efficiency was also attained in plowing: a team of oxen required three men to do the plowing; a horse-drawn plow could be operated by one man. The costs of transporting agricultural products were substantially reduced in the thirteenth century when the four-wheeled wagon with a pivotal front axle replaced the two-wheeled cart. These improvements in agriculture and transportation contributed to two important and far-reaching changes. First, they made possible a rapid increase in population growth. The best historical estimates show that the population of Europe doubled between 1000 and 1300.[3] Second, closely related to the expansion of population was a rapid increase in urban concentration. Before the year 1000, most of Europe, except for a few Mediterranean trade centers, consisted only of manors, villages, and a few small towns. By 1300, there were many thriving cities and larger towns.

The growth of towns and cities led to a growth of rural-urban specialization. With urban workers severing all ties to the soil, the output of manufactured goods increased impressively. Along with increased manufacturing and increased economic specialization came many additional gains in human productivity. Interregional, long-distance trade and commerce was another very important result of this increased specialization.

The Increase in Long-Distance Trade

Many historians have argued that the spread of trade and commerce was the single most important force leading to the disintegration of medieval feudalism. The importance of trade cannot be doubted, but it must be emphasized that this trade did not arise by accident or by factors completely external to the European economy, such as increased contact with the Arabs. On the contrary, it was shown in the previous section that this upsurge in trade was supported by the internal economic evolution of Europe itself. The growth of agricultural productivity meant that a surplus of food and handicrafts was available for local and international markets. The improvements in power and transportation meant that it was possible and profitable to concentrate industry in towns, to produce on a mass scale, and to sell the goods in a widespread, long-distance market. Thus, these basic agricultural and industrial developments were necessary prerequisites for the spread of trade and commerce, which then further encouraged industry and town expansion.

The growth of commerce cannot, however, be considered as the principal force in either the dissolution of feudalism or the creation of capitalism. While the transition from feudalism to capitalism coincided with increases in commerce in western Europe, and while commerce definitely was an important force in the dissolution of feudalism and the growth of capitalism there, increases in commercial activity in eastern Europe tended to contribute to the consolidation and perpetuation of feudal social and economic relationships.

These differing effects of commerce were due to the different stages of the historical development of feudalism in these two regions. In eastern Europe, feudalism was a relatively young and vigorous economic system with considerable potential for further development. In this context, commerce tended to be kept strictly subordinate to the interests of the feudal ruling class. In western Europe, feudalism had reached and possibly surpassed its full economic potential. Long before commerce became a significant part of western European life, feudalism had begun to dissolve. The initial impetus to its dissolution was the fact that, despite the increases in productivity, the social surplus became increasingly less adequate to support a rapidly growing ruling class. This led to increasingly severe and irreconcilable conflicts within the ruling class. Within the context of these acute conflicts among various segments of the nobility and the church, commerce became a corrosive, destabilizing force.[4] In our short summary, we shall confine ourselves to a discussion of western European feudalism, where commerce tended to accelerate the dissolution of feudalism and to establish many of the institutional foundations of capitalism.

The expansion of trade, particularly long-distance trade in the early period, led to the establishment of commercial and industrial towns to service this trade. The growth of these cities and towns, as well as their increased domination by merchant capitalists, led to important changes in both industry and agriculture. Each of these areas, particularly agriculture, weakened and ultimately dissolved the traditional ties that held together the feudal economic and social structures.

From the earliest part of the medieval period, some long-distance trade had been carried on throughout many parts of Europe. This trade was very important in southern Europe on the Mediterranean and Adriatic seas and in northern Europe on the North and Baltic seas. Between these two areas of commercialism, however, the feudal manorial system in most of Europe was relatively unaffected by commerce and trade until the later Middle Ages.

From about the eleventh century onward, the Christian Crusades gave the impetus to a marked expansion of commerce. Yet the Crusades themselves cannot be viewed as an accidental or external factor to European development. They were not undertaken for religious reasons, nor were they the result of Turkish molestation of pilgrims, for the Turks continued the Moslem policy of tolerance. Developments on the Moslem side did lead to increased attacks on Byzantium, but the West would normally have sent only token aid, because it had no great love for Byzantium. The basic reasons for the Crusades may be seen in the internal developments of France, where they had their most powerful backing. France had been growing stronger; it had more trade relations with an interest in the East; and it needed an outlet for social unrest at home. Additional propaganda for the Crusades came from the oligarchy of Venice, which wanted to expand its own eastern trade and influence.[5]

The development of trade with the Arabs—and with the Vikings in the north—led to increased production for export and to the great trade fairs that flourished from the twelfth through the late fourteenth centuries. Held annually in the principal European trading cities, these fairs usually lasted for one to several weeks. Northern European merchants exchanged their grain, fish, wool, cloth, timber, pitch, tar, salt, and iron for the spices, brocades, wines, fruits, and gold and silver that were the dominant items in southern European commerce.

By the fifteenth century, the fairs were being replaced by commercial cities where year-round markets thrived. The trade and commerce in these cities were incompatible with restrictive feudal customs and traditions. Generally the cities were successful in gaining independence from church and feudal lords. Within these commercial centers there arose complex systems of currency exchange, debt-clearing, and credit facilities, and modern business instruments like bills of exchange came into widespread use. New systems of commercial law developed. Unlike the system of paternalistic adjudication based on custom and tradition that prevailed in the manor, commercial law was fixed by precise code. Hence, it became the basis of the modern capitalist law of contracts, negotiable instruments, agency sales, and auctions.

In the manorial handicraft industry, the producer (the master craftsman) was also the seller. The industries that burgeoned in the new cities, however, were primarily export industries in which the producer was distant from the final buyer. Craftsmen sold their goods wholesale to merchants, who in turn transported and resold them. Another important difference was that the manorial craftsman was also generally a farmer. The new city craftsman gave up farming to devote himself to his craft, with which he obtained a monetary income that could be used to satisfy other individual needs.

The Putting-Out System and the Birth of Capitalist Industry

As trade and commerce thrived and expanded, the need for more manufactured goods and greater reliability of supply led to increasing control of the productive process by the merchant-capitalist. By the sixteenth century, the handicraft type of industry, in which the craftsman owned the workshop, tools, and raw materials and functioned as an independent, small-scale entrepreneur, had been largely replaced in the exporting industries by the putting-out system. In the earliest period of the putting-out system, the merchant-capitalist would furnish an independent craftsman with raw materials and pay him a fee to work the materials into finished products. In this way the capitalist owned the product throughout all stages of production, although the work was done in independent workshops. In the later period of the putting-out system, the merchant-capitalist owned the tools and machinery and often the building in which the production took place. The merchant-capitalist hired workers to use these tools, furnished them with the raw materials, and took the finished products.

The worker no longer sold a finished product to the merchant. Rather, the worker sold only his or her labor power. The textile industries were among the first in which the putting-out system developed. Weavers, spinners, fullers, and dyers found themselves in a situation where their employment, and hence their ability to support themselves and their families, depended on the merchant-capitalists, who had to sell what the workers produced at a price that was high enough to pay wages and other costs and still make a profit.

Capitalist control was, then, extended into the process of production. At the same time, a labor force was created that owned little or no capital and had nothing to sell but its labor power. These two features mark the appearance of the economic system of capitalism. Some writers and historians have defined capitalism as existing when trade, commerce, and the commercial spirit expanded and became more important in Europe. Trade and commerce, however, had existed throughout the feudal era. Yet, as long as feudal tradition remained the organizing principle in production, trade and commerce were really outside the social and economic system. The market and the search for monetary profits replaced custom and tradition in determining who would perform what task, how the task would be performed, and whether a given worker could find work to support him or herself. When this occurred, the capitalist system was created.[6]

Capitalism became dominant only when the relationship that existed between capitalists and workers in the sixteenth-century export industries was extended to most of the other industries in the economy. For such a system to evolve, the economic self-sufficiency of the feudal manor had to be broken down and manorial customs and traditions undermined or destroyed. Agriculture had to become a capitalist venture in which workers would sell their labor power to capitalists, and capitalists would buy the labor power only if they expected to make a profit in the process.

A capitalist textile industry existed in Flanders in the thirteenth century. When for various reasons its prosperity began to decline, the wealth and poverty it had created led to a long series of violent class wars, starting around 1280 that almost completely destroyed the industry. In the fourteenth century, a capitalist textile industry flourished in Florence. There, as in Flanders, adverse business conditions led to tensions between a poverty-stricken working class and their affluent capitalist employers. The results of these tensions were violent rebellions in 1379 and 1382. Failure to resolve these class antagonisms significantly worsened the precipitous decline in the Florentine textile industry, as it had earlier in Flanders.

In the fifteenth century, England dominated the world textile market. Its capitalist textile industry solved the problem of class conflict by ruralizing the industry. Whereas the earlier capitalist textile industries of Flanders and Florence had been centered in the densely populated cities, where the workers were thrown together and organized resistance was easy to initiate, the English fulling mills were scattered about the countryside. This meant that the workers were isolated from all but a small handful of other workers, and effective organized resistance did not develop.

The later system, however, in which wealthy owners of capital employed propertyless craftsmen, was usually a phenomenon of the city rather than of the countryside. From the beginning, these capitalist enterprises sought monopolistic positions from which to exploit the demand for their products. The rise of livery guilds, or associations of merchant-capitalist employers, created a host of barriers to protect these employers' positions. Different types of apprenticeships, with special privileges and exemptions for the sons of the wealthy, excessively high membership fees, and other barriers, prevented ambitious poorer craftsmen from competing with or entering the new capitalist class. Indeed, these barriers generally resulted in the transformation of poorer craftsmen and their sons into a new urban working class that lived exclusively by selling its labor power.

Decline of the Manorial System

Before a complete system of capitalism could emerge, however, the force of capitalist market relations had to invade the rural manor, the bastion of feudalism. This was accomplished as a result of the vast increase of population in the new trading cities. Large urban populations depended on the rural countryside for food and much of the raw materials for export industries. These needs fostered a rural-urban specialization and a large flow of trade between the rural manor and the city. The lords of the manors began to depend on the cities for manufactured goods and increasingly came to desire luxury goods that merchants could sell them.

The peasants on the manor also found that they could exchange surpluses for money at the local grain markets; the money could be used to purchase commutation of their labor services.[7] Commutation often resulted in the peasant very nearly becoming an independent small businessman. The peasant might rent the land from the lord, sell the produce to cover the rent, and retain the remaining revenues. This system gave peasants a higher incentive to produce, and, thereby, increased their surplus marketings, which led to more commutations, more subsequent marketings, and so forth. The cumulative effect was a very gradual breaking down of the traditional ties of the manor, substituting the market and the search for profits as the organizing principle of production. By the middle of the fourteenth century, money rents exceeded the value of labor services in many parts of Europe.

Another force that brought the market into the countryside, which was closely related to commutation, was the alienation of the lords' demesnes. The lords who needed cash to exchange for manufactured goods and luxuries began to rent their own lands to peasant farmers rather than having them farmed directly with labor service obligations. This process led increasingly to a situation in which the lord of the manor was simply a landlord in the modern sense of that term. In fact, he very often became an absentee landlord, as many lords chose to move to the cities or were away fighting battles.

The breakup of the manorial system, however, stemmed more directly from a series of catastrophies in the late fourteenth and fifteenth centuries. The Hundred Years' War between France and England (1337–1453) created general disorder and unrest in those countries. The Black Death was even more devastating. On the eve of the plague of 1348–49, England's population stood at 4 million. By the early fifteenth century, after the effects of the wars and the plague, England had a scant 2.5 million population. This was fairly typical of trends in other European countries. The depopulation led to a desperate labor shortage, and wages for all types of labor rose abruptly. Land, now relatively plentiful, began to rent for less.

These facts led the feudal nobility to attempt to revoke the commutations they had granted and to reestablish the labor service obligations of the serfs and peasants (peasants were former serfs who had attained some degree of independence and freedom from feudal restrictions). They found, however, that the clock could not be turned back. The market had been extended into the countryside, and with it had come greater freedom, independence, and prosperity for the peasants. They bitterly resisted efforts to reinstate the old obligations, and their resistance did not go unchallenged.

The result was the famous peasant revolts that broke out over all of Europe from the late fourteenth through the early sixteenth centuries. These rebellions were extreme in their cruelty and ferocity. A contemporary French writer described a band of peasants who killed a "knight and putting him on a broach, roasted him over a fire in the sight of his wife and children. Ten or twelve of them ravished the wife and then forced her to eat of her husband's flesh. Then they killed her and her children. Wherever these ungracious people went they destroyed good houses and strong castles."[8] Rebellious peasants were ultimately slaughtered with equal or greater cruelty and ferocity by the nobility.

England experienced a series of such revolts in the late fourteenth and fifteenth centuries. But the revolts that occurred in Germany in the early sixteenth century were probably the bloodiest of all. The peasant rebellion in 1524–25 was crushed by the Imperial troops of the Holy Roman emperor, who slaughtered peasants by the tens of thousands. Over 100,000 persons probably were killed in Germany alone.

These revolts are mentioned here to illustrate the fact that fundamental changes in the economic and political structure of a social system are often achieved only after traumatic and violent social conflict. Any economic system generates a class or classes whose privileges depend on the continuation of that system. Quite naturally, these classes go to great lengths to resist change and to protect their positions. The feudal nobility fought a savage rearguard action against the emerging capitalist market system, but the forces of change ultimately swept them aside. Although the important changes were brought about by aspiring merchants and minor noblemen, the peasants were the pathetic victims of the consequent social upheavals. Ironically, they were usually struggling to protect the status quo.

Creation of the Working Class

The early sixteenth century is a watershed in European history. It marks the vague dividing line between the old, decaying feudal order and the rising capitalist system. After 1500, important social and economic changes began to occur with increasing frequency, each reinforcing the other and all together ushering in the system of capitalism. Among the most important of these changes were those creating a working class that was systematically stripped of any control over the production process and forced into a situation in which the sale of its labor power was its only means of survival. The population of western Europe, which had been relatively stagnant for a century and a half, increased by nearly one-third in the sixteenth century and stood at about 70 million in 1600.

The increase in population was accompanied by the enclosure movement, which had begun in England as early as the thirteenth century. The feudal nobility, in ever increasing need of cash, fenced off, or enclosed, lands that had formerly been used for communal grazing, using the lands to graze sheep to satisfy the booming English wool and textile industries' demand for wool. The sheep brought good prices, and a minimal amount of labor was needed to herd them.

The enclosure movement reached its peak in the late fifteenth and sixteenth centuries, when in some areas as many as three-fourths to nine-tenths of the tenants were forced out of the countryside and into the cities to try to support themselves. Subsequent waves of enclosure continued until well into the nineteenth century. The enclosures and the increasing population further destroyed the remaining feudal ties, creating a large new labor force—a labor force without land, without any tools or instruments of production, and with only labor power to sell. This migration to the cities meant more labor for the capitalist industries, more men for the armies and navies, more men to colonize new lands, and more potential consumers, or buyers, of products.

But the enclosures and the increase in population were by no means the sole source of the new working class. Innumerable peasants, yeomen, and minor nobility were bankrupted by exorbitant increases in monetary rents. Mounting debts that could not be repaid ruined countless others. In the cities and towns the guilds came to be more and more concerned with the income levels of their members. It was obvious to the craftsmen and merchants in the guilds that steps taken to minimize their number would serve to monopolize their crafts and to increase their incomes. Increasing numbers of urban producers came to be denied any means of independent production as the guilds became more exclusive. In this way, a considerable portion of the new working class was created within the towns and cities.